1 Introduction

1.1 Background of the Study

Companies continuously make decisions about how their operations should be organised. One important decision is whether an activity should be performed within the organisation or obtained from an external service provider. Activities such as production, maintenance, logistics, procurement, information technology, administration and other support functions can be organised through in-house operations, outsourcing, or a combination of both.

The choice between in-house and outsourced operations affects more than the location of the work. It can influence the resources required by the organisation, the distribution of operational control, the dependence on external parties, the retention of organisational knowledge, the need for monitoring and governance, and the organisation's ability to respond to disruption. Consequently, the operating model can affect the company's risk profile.

In-house operations allow an organisation to retain direct responsibility for resources and activities. However, internal operations also require the organisation to provide the necessary employees, equipment, skills, infrastructure, management and capital. These requirements can create operational and business exposures. Outsourcing can provide access to external capabilities and resources, but it can also introduce dependencies on suppliers and require additional contractual, monitoring and coordination mechanisms.

The risk implications of these arrangements are therefore not necessarily represented by a simple distinction between low-risk and high-risk operating models. A change from in-house to outsourced operations may reduce one type of exposure while introducing or increasing another. For example, an organisation may reduce its internal resource requirements while increasing its dependence on supplier performance. Similarly, retaining an activity internally may provide greater direct control while increasing the organisation's responsibility for capacity, staffing, maintenance and investment.

This creates a need to examine operating models through a broader risk perspective. The present thesis focuses on two complementary perspectives. The first is the **operational perspective**, which concerns the functioning and continuity of activities. The second is the **strategic/business perspective**, which concerns issues such as cost exposure, organisational capabilities, dependency, knowledge retention, scalability and strategic flexibility.

The thesis therefore examines how the choice of operating model is associated with the distribution and structure of company risk. The focus is not on assuming that either in-

house or outsourced operations are inherently preferable, but on identifying how different operating arrangements can create, retain, transfer, reduce or amplify different forms of risk.

1.2 Research Problem

The central research problem is that companies must make operating-model decisions under conditions of uncertainty while considering both operational requirements and broader business consequences.

An organisation may outsource an activity to obtain specialised capabilities, reduce internal resource requirements or increase flexibility. At the same time, the organisation may become dependent on an external provider and need to establish mechanisms for monitoring, coordination, performance management and continuity. Conversely, an organisation may retain an activity internally to maintain direct control and organisational knowledge, while accepting the resource, capacity, investment and operational responsibilities associated with internal execution.

Therefore, the operating-model decision can change the structure of organisational risk rather than simply increasing or decreasing risk as a whole.

Existing knowledge provides several theoretical perspectives for understanding these relationships, including transaction costs, organisational capabilities, resource dependence, agency relationships and organisational adaptation. However, the present research is concerned specifically with bringing these perspectives together into a comparative examination of in-house and outsourced operations from both operational and strategic/business perspectives.

The research problem can consequently be expressed as follows:

How do in-house and outsourced operating models affect a company's risk profile?

The problem is examined by identifying the risk dimensions associated with each operating model and analysing how responsibility, control, resources, dependencies and recovery capabilities are configured.

1.3 Purpose of the Study

The purpose of this thesis is to examine how in-house and outsourced operating models affect a company's risk profile from operational and strategic/business perspectives.

The study seeks to develop a structured basis for comparing the risks associated with different operating arrangements. It considers not only risks that may arise from outsourcing but also risks that remain or arise when activities are performed internally.

The intended outcome is an evidence-based understanding of how operating-model choices influence the distribution of organisational risk. The research also aims to provide a framework that can support the assessment of operating-model decisions by connecting operating arrangements with resources, control, dependencies, risk exposure, consequences and response or recovery capability.

1.4 Objectives of the Study

The objectives of the thesis are to:

1. identify the main operational risks associated with in-house operations;
2. identify the main operational risks associated with outsourced operations;
3. examine strategic and business risks associated with in-house and outsourced operating models;
4. compare how different operating models distribute, retain, transfer, introduce, reduce or amplify risk;
5. examine the influence of governance, dependency and organisational capabilities on the resulting risk profile; and
6. develop a structured framework for comparing the risk implications of in-house and outsourced operations.

These objectives provide the basis for the research questions and the empirical data collection.

1.5 Research Questions

The main research question is:

How do in-house and outsourced operating models affect a company's risk profile?

The main question is supported by the following sub-questions:

1. **What operational risks are associated with in-house operations?**
2. **What operational risks are associated with outsourced operations?**
3. **What strategic and business risks are associated with in-house and outsourced operations?**
4. **How are risks redistributed when an activity is performed in-house compared with when it is outsourced?**

5. **How do governance, dependency and organisational capabilities influence the risk profile of different operating models?**
6. **How can the risk implications of in-house and outsourced operations be systematically compared?**

The research questions provide the connection between the research problem, the knowledge base, the empirical data collection and the subsequent analysis.

1.6 Scope of the Study

The study focuses on the relationship between operating model and company risk profile. The operating models considered are **in-house, outsourced and mixed arrangements**, where relevant to the respondents' operating environments.

The study examines two main risk perspectives.

The first is the **operational perspective**, including areas such as process control, quality, reliability, downtime, capacity, labour and skills, maintenance, information flow, response time, flexibility, continuity, supplier performance, technology dependency, safety and compliance.

The second is the **strategic/business perspective**, including areas such as cost exposure, capital requirements, strategic dependency, vendor lock-in, core competence, scalability, bargaining power, knowledge retention, intellectual property, continuity, reputation and financial exposure.

The study does not attempt to establish that one operating model is universally superior. Instead, it examines the conditions under which different operating models may produce different risk exposures.

The empirical study is based primarily on organisational respondents with knowledge of operations, procurement, supply chain, maintenance, quality, risk, finance, management or outsourcing/vendor management. The research therefore examines organisational experience and assessment rather than attempting to construct a universal risk model applicable to every company or industry.

1.7 Significance of the Study

The study is relevant because operating-model decisions can affect several parts of an organisation simultaneously. A decision that appears beneficial from a cost or resource perspective may create different operational or strategic exposures elsewhere in the organisation.

For companies, the study can provide a structured way to examine operating-model decisions beyond direct cost comparison. It can help distinguish between risks that are retained internally and risks that arise through external dependency, as well as identify the governance and recovery mechanisms associated with different arrangements.

For managers and decision-makers, the research can provide a basis for considering operational and strategic/business risks together when evaluating make-or-buy and outsourcing decisions.

For researchers and students, the study provides a comparative framework connecting operating model, resource configuration, control distribution, dependency structure and risk exposure.

The study is also intended to contribute to a more balanced understanding of outsourcing. Rather than treating outsourcing as synonymous with increased risk, the research examines how risk changes its location and structure when operational responsibility crosses organisational boundaries.

1.8 Structure of the Thesis

The thesis is organised into six main chapters.

Chapter 1, Introduction, presents the background of the study, research problem, purpose, objectives, research questions, scope and significance of the research.

Chapter 2, Knowledge Base, presents the theoretical and professional knowledge underlying the study. It examines in-house and outsourced operations, the make-or-buy decision, transaction cost economics, the resource-based view, resource dependence theory, agency theory, governance, operational risk, strategic/business risk and operational resilience. The chapter also establishes the conceptual framework for the empirical study.

Chapter 3, Methods, describes the research approach, data sources, data collection methods, questionnaire design, sampling, data management and methods used to analyse the collected evidence.

Chapter 4, Implementation, describes how the research was carried out, including the stages of data acquisition, data preparation, analysis and application of the research framework.

Chapter 5, Results, presents the findings of the empirical research. The results are organised according to the research questions and the operational and strategic/business perspectives established earlier in the thesis.

Chapter 6, Discussion, interprets the findings in relation to the research objectives and knowledge base. It considers the implications of the findings, limitations of the research and areas for further research.

The thesis concludes with the **References** and relevant **Appendices**, including supporting research materials such as the questionnaire.